Donga ST (170900 KS)

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Cost efficiencies support profitability

3Q26 review: cost efficiencies sustain profitability

Sales rose 4.1% YoY to W206.5bn, while OP climbed 27.7% YoY to W21.4bn (OPM 10.4%), significantly beating consensus. Despite a higher sales contribution from licensed-in products such as Jaqbo (treatment for acid-related gastrointestinal conditions) and Diphereline (hormone therapy), OPM margin improved on SG&A efficiencies and the deferral of some R&D spending. Continued disciplined SG&A management, following similar efforts in the previous quarter, should help sustain profitability.

The newly licensed-in Xcopri (cenobamate; anti-epileptic drug) is scheduled to launch in Korea in November. Xcopri has been used in the US for six years and has delivered steady prescription growth, supporting expectations for rapid market share gains in Korea.

Drug development needs to accelerate

Despite the launch of Sogroya, a once-weekly growth hormone, the company's Growtropin has maintained a solid market share, while sales of its proprietary drugs have remained stable. However, licensed-in products account for most incremental sales growth, likely limiting further margin improvement despite cost controls.

Ultimately, further earnings growth will depend on new drug development. In 4Q26, Donga ST is scheduled to release 16-week clinical data for DA-1726 (anti-obesity treatment; dual GLP-1/glucagon receptor agonist) at a 64mg dose. Clinical results for semaglutide (GLP-1 receptor agonist) 7.2mg suggest that higher doses of GLP-1 agonists could deliver additional weight loss, but maintaining tolerability at higher doses will be key. With numerous GLP-1 agonists in clinical development, we believe the company needs to accelerate progress toward commercialization.

Maintain BUY; revise down target price to W51,000

We maintain BUY but revise down our target price from W60,000 to W51,000. Our target price is based on 12-month-forward EBITDA of W72.8bn and an EV/EBITDA multiple of 10.5x, the average for major pharmaceutical companies.

BUY (M)

Target price	W51,000 (Down)
Previous target price	W60,000
Current price (Oct 27)	W34,900
Upside potential	46%

Market cap (Wbn)	340
Shares outstanding	9,727,881
Avg daily T/O (2M, Wbn)	0
Avg daily volume (2M, shrs)	8,303
52-week high/low (won)	55,126 / 32,000
Foreign ownership (%)	19.59%
Dividend yield (%)	1.33%
Major shareholders	Jeong-seok Kang & others

Stock performance

(%)	1M	3M	12M
Absolute	1.3	(5.5)	(23.7)
Relative	27.2	13.2	(45.3)
Abs (US$)	4.0	4.8	(17.5)

Quarterly earnings

(Wbn)	3Q26P	% YoY	% QoQ	Consens	vs consens (%)
Sales	207	4.1	-0.6	220	-6.3
OP	21	27.7	97.1	13	67.6
Pre-tax net profit	22	8.8	95.7		
Net profit, CI	17	19.9	112.5	6	204.1
OPM (%)	10.4	+2.0 %pt	+5.2 %pt	5.8	+4.6 %pt
NPM (%)	8.2	+1.0 %pt	+4.3 %pt	2.5	+5.7 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	641	745	815	845
OP	32	28	50	56
Net profit, CI	15	-18	44	45
P/E (x)	40.7	-25.6	7.7	7.5
P/B (x)	0.9	0.7	0.5	0.5
EV/EBITDA (x)	14.2	12.1	8.0	7.4
ROE (%)	2.2	-2.6	6.6	6.7

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Donga ST: target price calculation		(Wbn, '000 shares, won)
	Value	Note
1. Value of operations	764	EBITDA (12MF): W72.8bn EV/EBITDA (12MF): 10.5x
2. Net borrowings	269	End-2026E
3. Total shares issued	9,728	
4. Value per share	50,888	(1-2)/3
5. Target price	51,000	

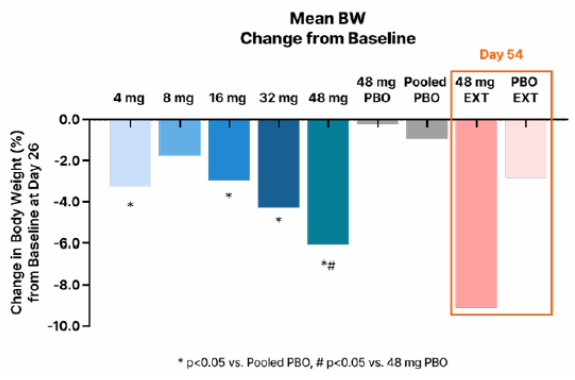
Source: Yuanta Securities

Donga ST: earnings forecast (Wbn)

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26P	4Q26E	2025	2026E	2027E
Sales	169.0	177.4	198.4	200.4	187.1	207.8	206.5	214.0	745.1	815.4	845.1
YoY	20.6%	12.4%	10.5%	22.6%	10.7%	17.1%	4.1%	6.8%	16.3%	9.4%	3.6%
ETC	117.3	129.0	145.3	136.2	144.0	148.6	155.9	151.7	527.8	602.2	619.3
Overseas	42.4	39.7	40.9	47.3	33.7	46.9	39.2	47.8	170.3	167.6	175.5
DH	0.5	1.0	0.5	1.2	1.8	3.2	2.8	3.1	3.2	10.9	13.7
Other	8.8	7.6	11.5	15.7	7.5	9.3	8.7	9.4	43.6	34.9	36.7
Gross profit	83.8	80.3	92.9	84.3	82.6	93.7	99.4	96.9	341.2	372.6	384.5
SG&A exp	76.7	76.3	76.1	84.5	71.8	83.0	77.9	90.3	314.0	323.0	328.0
OP	7.0	4.0	16.8	(0.2)	10.8	10.8	21.4	6.6	27.5	49.6	56.5
YoY	853.8%	(43.4%)	(15.4%)	TTR	54.1%	170.0%	27.7%	TTB	(16.1%)	82.6%	13.8%
OPM	4.1%	2.3%	8.4%	-	5.8%	5.2%	10.4%	3.1%	3.6%	6.1%	6.7%

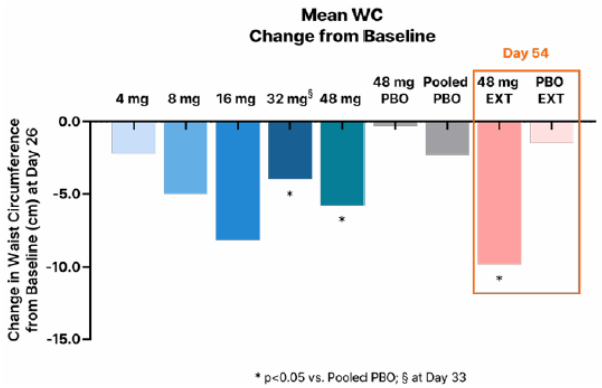
Note: TTR = turn to red, TTB = turn to black; Source: Yuanta Securities

Change in body weight with DA-1726 (GLP-1/GCG agonist)



Source: company data, Yuanta Securities

Change in waist circumference with DA-1726 (GLP-1/GCG agonist)



Source: company data, Yuanta Securities

Donga ST (170900 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**641**	**745**	**815**	**845**	**866**
Cost of sales	315	404	443	461	480
Gross profit	326	341	373	384	387
SG&A	293	314	323	328	329
Operating profit	**32**	**28**	**50**	**56**	**57**
EBITDA	59	57	75	80	80
Non-operating profit	-11	-48	6	1	1
Forex gains	10	3	0	0	0
Net interest income	-12	-16	0	0	0
Equity-method gains	0	0	0	0	0
Other	-8	-35	6	1	1
Net prof before income tax	21	-20	55	57	58
Income tax	6	-3	11	12	12
Net profit from continuing ops	15	-18	44	45	46
Net profit from discontinued ops	0	0	0	0	0
Net profit	15	-18	44	45	46
NP for controlling interest	**15**	**-18**	**44**	**45**	**46**
Total comprehensive income	9	-11	25	9	9
Total comprehensive income, CI	9	-11	25	9	9

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**514**	**584**	**517**	**543**	**568**
Cash & cash equivalents	149	155	118	129	146
Accounts receivables & other	114	129	134	140	144
Inventory	130	149	161	168	173
Non-current assets	821	802	792	775	757
Tangible assets	430	426	411	390	370
Investment in affiliates	164	157	162	169	174
Other investment assets	46	43	44	44	44
Total assets	**1,335**	**1,386**	**1,308**	**1,318**	**1,326**
Current liabilities	215	380	387	394	397
Accounts payable & other	119	155	126	132	136
ST financial liabilities	15	0	20	20	20
Liquid LT liabilities	70	213	228	228	228
Non-current liabilities	426	329	246	247	248
LT financial liabilities	212	190	215	215	215
Debentures	175	110	0	0	0
Total liabilities	**640**	**709**	**633**	**640**	**645**
Equity, controlling interest	694	677	676	678	681
Paid-in capital	46	47	49	49	49
Capital surplus	318	318	288	288	288
Retained earnings	201	183	242	281	320
Equity, non-controlling interest	0	0	0	0	0
Total equity	**694**	**677**	**676**	**678**	**681**
Net debt	**224**	**230**	**266**	**255**	**238**
Total debt	477	519	469	469	470

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**34**	**56**	**81**	**125**	**132**
Net profit	15	-18	44	45	46
Depreciation & amortization	24	23	22	21	20
Forex gains	-4	1	-6	0	0
Affiliate investment gains	0	0	0	0	0
Increase in net working cap	-33	-15	-20	21	27
Other	33	65	41	38	39
Investing cash flow	**-150**	**-57**	**32**	**-10**	**-7**
Investment	-161	-31	-5	-7	-5
Increase in tangible assets	-21	-21	-13	0	0
Decrease in tangible assets	0	0	0	0	0
Other	32	-5	49	-3	-3
Financing cash flow	**80**	**10**	**-66**	**-6**	**-6**
ST financial liabilities	0	-15	20	0	0
Debenture/LT financial liabilities	81	56	-70	0	0
Equity	28	0	-29	0	0
Cash dividend	-6	-6	-6	-6	-6
Other cash flow	-24	-25	19	0	0
Consolidation adj and other	4	-2	-85	-97	-101
Increase in cash & equivalents	**-32**	**7**	**-38**	**11**	**16**
Beginning cash & equivalents	180	149	155	118	129
Ending cash & equivalents	149	155	118	129	146
NOPLAT	32	28	**50**	**56**	**57**
FCF	**13**	**34**	**68**	**125**	**132**

Valuation

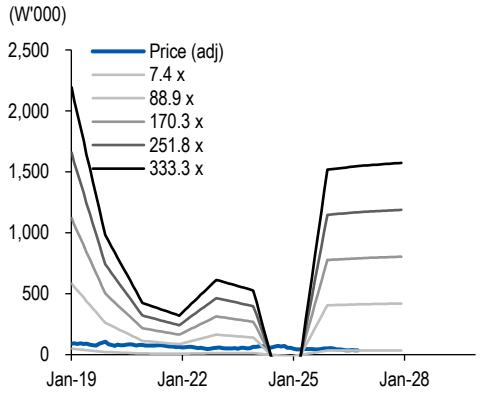
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	1,581	-1,806	4,558	4,657	4,721
BPS (won)	72,246	70,469	70,093	70,324	70,618
EBITDA/shr (won)	6,113	5,762	7,727	8,239	8,202
SPS (won)	66,918	75,911	83,693	86,873	89,059
DPS (won)	654	667	667	667	667
P/E (x)	**40.7**	**-25.6**	**7.7**	**7.5**	**7.4**
P/B (x)	**0.9**	**0.7**	**0.5**	**0.5**	**0.5**
EV/EBITDA (x)	**14.2**	**12.1**	**8.0**	**7.4**	**7.2**
P/S (x)	**1.0**	**0.6**	**0.4**	**0.4**	**0.4**

Key financial data

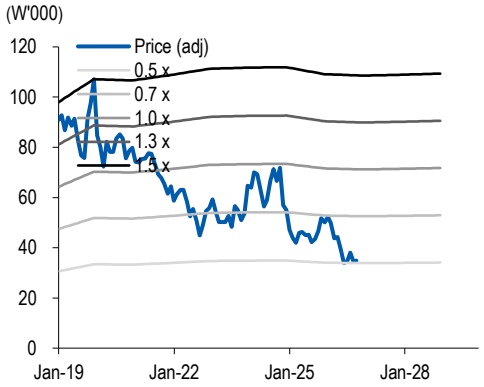
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**5.9**	**16.3**	**9.4**	**3.6**	**2.5**
Operating profit (%YoY)	**-0.8**	**-15.2**	**80.4**	**13.7**	**1.5**
Net profit, CI (%YoY)	**-12.5**	**TTR**	**TTB**	**2.0**	**1.4**
Gross margin (%)	50.8	45.8	45.7	45.5	44.6
Operating margin (%)	**5.1**	**3.7**	**6.1**	**6.7**	**6.6**
Net margin, CI (%)	2.4	-2.4	5.4	5.4	5.3
EBITDA margin (%)	9.1	7.6	9.2	9.5	9.2
ROIC (%)	3.7	3.8	6.3	7.0	7.3
ROA (%)	1.2	-1.3	3.3	3.4	3.5
ROE (%)	**2.2**	**-2.6**	**6.6**	**6.7**	**6.8**
Debt-to-equity (%)	92.2	104.7	93.7	94.5	94.8
Net debt-to-equity (%)	32.2	34.0	39.4	37.6	35.0
OP/financing cost (x)	1.6	1.4	0.0	0.0	0.0

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

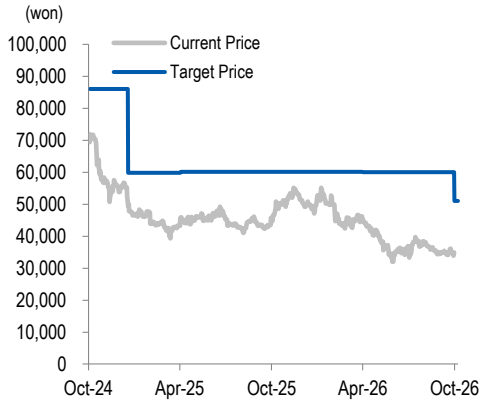
P/E band chart



P/B band chart



Donga ST (170900 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/28	BUY	51,000	1 yr		
2026/04/28	BUY	60,000	1 yr	-38.36	-25.33
2025/04/30	BUY	60,085	1 yr	-21.98	-8.25
2025/01/15	BUY	59,873	1 yr	-25.38	-16.41
2024/10/31	BUY	86,067	1 yr	-31.68	-16.63

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 28, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
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  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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